

Supportive liquidity conditions continued in May, though rising pressure ahead

Equity Strategy

Launching the monthly product China Flow Lens

We are launching a new product to track fund flows, positioning, and capital supply-demand indicators in China's equity market. The report aims to provide a structured framework to assess evolving liquidity conditions and their trading implications.

A better capital supply/demand mix for A-shares

Overall, liquidity conditions continue to favor A-shares over Hong Kong equities. While domestic liquidity remains strong and the restock of "national team" capital provides downside support for A-shares, Hong Kong faces near-term headwinds from slowing southbound inflows, tighter cross-border capital rules, and an upcoming wave of lock-up expirations. As such, despite faster style and sector rotations since May, we expect A-shares to remain relatively better supported than H-shares in the coming months.

Liquidity support in the near term, rising pressures ahead

Capital flows to foreign-domiciled China equity funds tracked by EPFR accelerated in May, in line with narrowing UW in China among active EM funds in Apr. At the same time, China's domestic ETFs – often used by the "national team" for market support – continued to see heavy redemptions over the past month. However, with ETF outflows YTD already exceeding the inflows seen in 2023-25, residual selling pressure could ease into 2H26, in our view. On the capital supply side, stronger hybrid fund issuances and share buybacks supported A-share liquidity in May, lifting ADTV to ~RMB3.2tn. However, southbound flows to Hong Kong turned negative, with a net outflow of HKD3.6bn (vs. +HKD56.5bn in Apr). On the demand side, IPO financing and restricted share unlocks eased notably. That said, the upcoming CXMT IPO and a surge in Hong Kong lock-up expirations – projected at ~HKD270bn in Jul and ~HKD400bn in Sep by WIND – are likely to exert liquidity pressure on A-share and Hong Kong markets in the next 3 months.

Exhibit 1: Capital supply dynamics still favor A shares vs. Hong Kong stocks

A-share and Hong Kong secondary market liquidity dashboard

A-share market	May-26	Apr-26	Imp.	Hong Kong	May-26	Apr-26	Imp.
ADTV (RMB bn)	3182.5	2343.8	▲	ADTV (HKD bn)	292.8	253.4	▲
Margin trading as % of MT	10.1%	9.8%	▲				
New fund issuances (bn)	70.1	46.4	▲	Share buybacks (HKD bn)	22.0	13.6	▲
Share buybacks (RMB bn)	17.1	11.0	▲	SB capital flows (HKD bn)	-3.6	56.5	▼
NB trading as % of turnover	6.2%	6.1%	▲				
4-Week fund flows (USD mn)	347.4	51.6	▲	4-Week fund flows (USD mn)	587.5	824.6	▼
IPO financing (RMB bn)	11.1	21.2	▲	IPO financing (HKD bn)	13.4	43.1	▲
Lock-up expirations (RMB bn)	184.9	303.8	▲	Lock-up expirations (HKD bn)	26.9	27.8	▲
Share reductions (RMB bn)	49.3	37.1	▼				

Source: WIND, EPFR. Note: ▲ / ▲ / ▼ denote whether an indicator's movement is supportive, neutral, adverse to market liquidity relative to the previous month. A ▲ is assigned when the MoM change falls within -5%. See full exhibit on page 8

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Glossary

ADR: American depositary receipt
ADTV: average daily trading value
CGB: China government bond
EM: emerging market
Imp.: Impact
MLF: Medium-term lending facility
MT: market turnover
"National team": state-backed institutional investors that step in to stabilize the market during periods of sharp volatility
OMO: open market operations
OW: overweight
PBOC: People's Bank of China
SB/NB: southbound/northbound
UW: underweight

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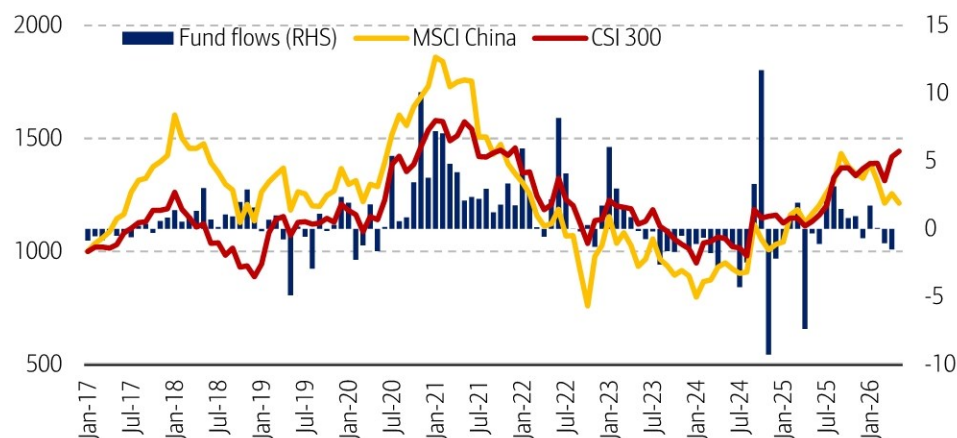
Supportive liquidity conditions continue

Launching the new product of China Flow Lens

We are launching a monthly strategy product to track liquidity dynamics and investor sentiment in China's stock market. By integrating fund flows, positioning, and indicators on both capital supply and demand, the report offers a structured framework for assessing how liquidity and sentiment evolve – and what it implies for trading direction. Over the past decade, fund flow data have shown a strong correlation with China equities, particularly during market reversals triggered by major events. For instance, flows to foreign-domiciled China equity funds turned positive swiftly during the post-COVID reopening in late 2022 and again amid policy easing in September 2024.

Exhibit 2: Fund flow data show a strong correlation with China stocks

Monthly capital flows to foreign-domiciled China funds (USD bn) vs. MSCI China and CSI 300 indices



Source: WIND, EPFR

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Fund flows and market allocation: recovering inflows – but for how long?

Following a slowdown in April this year, capital flows into foreign-domiciled China equity funds, tracked by EPFR, re-accelerated in May, with rolling 4-week net flows to active China funds turning positive again after March. By market, both A-share and Hong Kong-focused China funds saw solid inflows. In contrast, funds benchmarking the MSCI China Index continued to experience redemptions over the past 3 months, albeit at a moderating pace. While EPFR's coverage represents only a relatively small portion of the overall market, we believe the data still provides a useful indication of the broad direction of fund flows in the short term.

Exhibit 3: Foreign investors revisit A-share and Hong Kong stocks, but remain cautious on Chinese ADRs

Weekly capital flows to foreign-domiciled China funds benchmarking against MSCI China, A-share indices, and Hong Kong indices (USD mn)

Benchmarks	4-Mar	11-Mar	18-Mar	25-Mar	1-Apr	8-Apr	15-Apr	22-Apr	29-Apr	6-May	13-May	20-May	27-May
China (Total)	2,194.9	-2,126.5	-1,106.9	1,723.4	-2,439.4	-271.9	328.9	385.5	-371.1	-1,016.7	935.3	2,809.8	-1,931.7
MSCI China	-302.0	-563.9	-229.9	-29.8	-209.8	30.4	67.0	-430.0	-492.8	-27.5	-152.0	-41.8	-35.2
A-share indices	-151.8	-423.0	-111.2	-110.0	-152.8	-41.9	205.1	-80.2	-31.3	3.1	307.0	120.2	-82.9
H-share indices	2,721.6	-914.0	-437.0	2,043.8	-1,976.4	-259.1	262.9	470.6	350.1	-900.4	103.9	1,733.8	-349.7

Source: EPFR. Note: A-share index benchmarks include MSCI China A Share, MSCI China A 50, CSI 300, SSE Composite Index, SSE 50, Shenzhen ChiNext, and CSI 800. H-share index benchmarks include HSI, Hang Seng China Enterprise, and Hang Seng Tech. China (total) represents a broad universe of all EPFR-tracked foreign-domiciled funds with a China investment mandate, whose benchmarks also include other China-specific indices or multi-market indices (i.e., 70%*CSI300+30%*HSI). AUM for funds linked to China (total)/MSCI China/A-share indices/H-share indices was USD194.4bn/USD27.7bn/USD16.1bn/USD47.0bn as of May 27

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It is also worth noting that heavy redemptions of China's domestic ETFs tracking broad market indices (i.e., SSE 50, CSI 300, CSI 500, CSI 1000, and ChiNext Index) – a key trading channel used by China's "national team" (Note: "national team" refers to state-backed institutional investors that step in to stabilize the market during periods of sharp declines or volatility) in market aid – persisted over the past month. However, against the market rebound over the past 2 years, cumulative YTD outflows from domestic ETFs



have exceeded the inflows seen in 2023-25, suggesting that prior support has been largely unwound and that selling pressure could gradually ease in 2H26. While the retreat of “national team” weighed on A-share sentiment during the sharp rally in Jan 2026, looking ahead, it should reserve policy capacity for future market support in case of potential market turbulence, in our view.

Exhibit 4: Stock selling by China’s “national team” continues

Cumulative capital flows to China’s domestic ETF funds (USD bn)

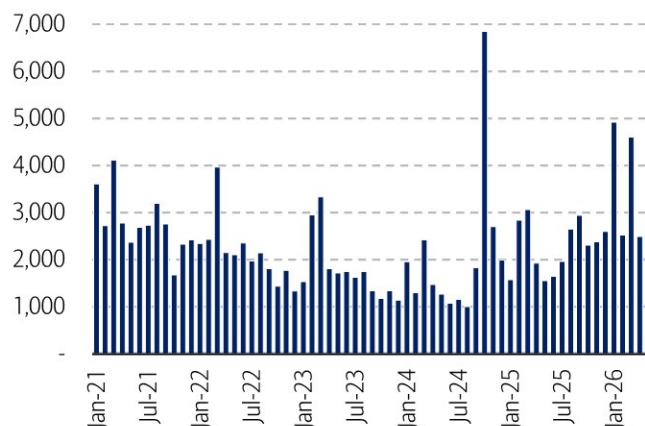


Source: EPFR

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Exhibit 5: SSE new account opening +11% MoM in May

New account openings at the Shanghai Stock Exchange ('000)



Source: WIND. Note: This indicator is not included in our dashboard given the uncertainty around its release timing.

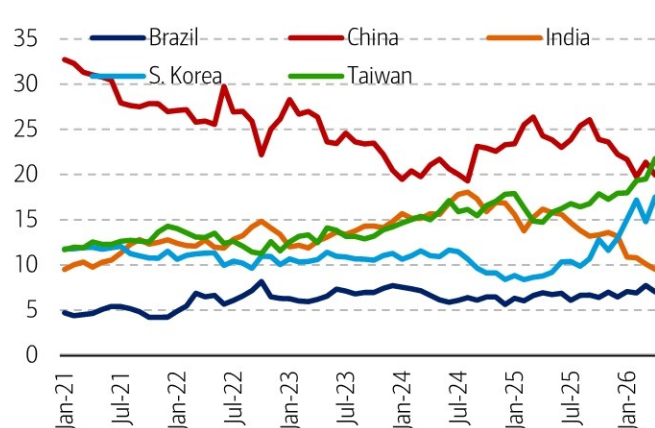
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In the charts below, we examine global EM funds’ market allocations as of April 2026, which better reflect global fund managers’ positioning than fund flows. According to the EPFR data, active funds notably expanded their exposure to South Korea and Taiwan stocks in April, funded by reductions in China and India holdings. However, these shifts can be distorted by market cap movements in other markets as well as existing positions. To mitigate such impact, we compare market exposure of active funds vs. passive funds (as proxies of market weights) and track how the gap evolves MoM.

Overall, we find active global EM funds’ underweights in China and Taiwan actually narrowed in April, while underweights in India widened. Meanwhile, we observed that global EM fund managers turned more constructive on South Korea.

Exhibit 6: EM funds’ exposure to South Korea and Taiwan stocks soar

Market allocations by active global EM funds (%)

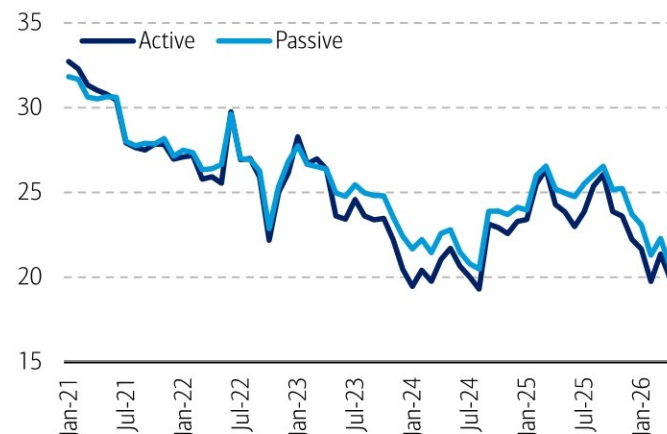


Source: EPFR

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Exhibit 7: Active funds reduce their UW positions on China

Active and passive global EM funds’ exposure to China stocks (%)

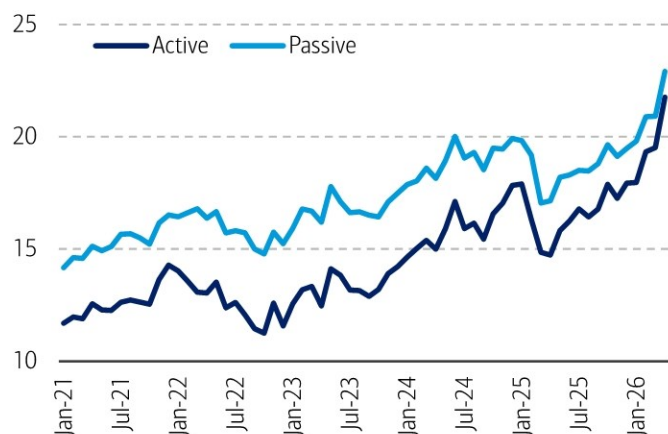


Source: EPFR

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Exhibit 8: Active funds reduce their UW positions on Taiwan

Active and passive global EM funds' exposure to Taiwan stocks (%)

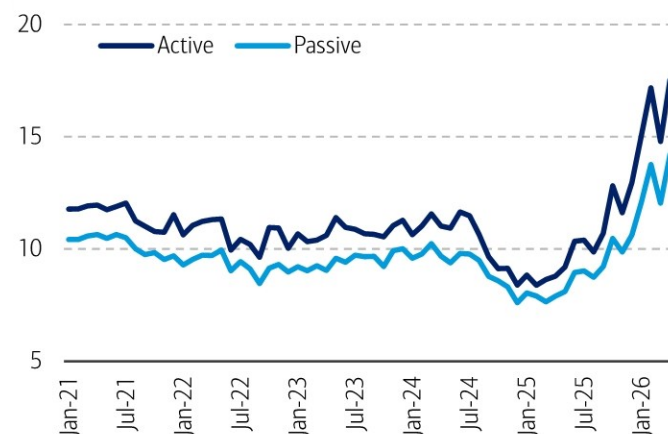


Source: EPFR

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Exhibit 9: Active funds increase their OW positions on South Korea

Active and passive global EM funds' exposure to South Korea stocks (%)

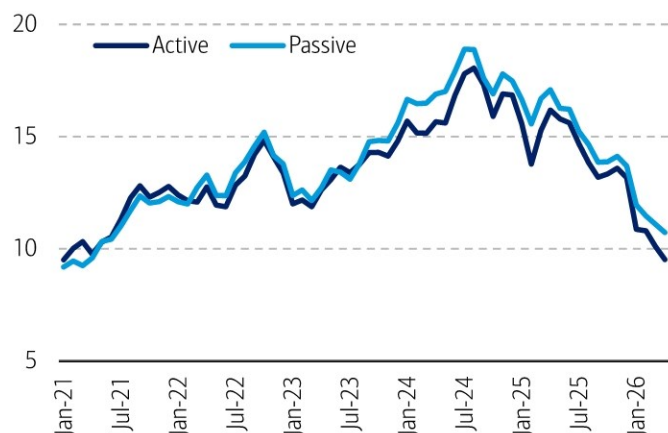


Source: EPFR

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Exhibit 10: Active funds increase their UW positions on India

Active and passive global EM funds' exposure to India stocks (%)

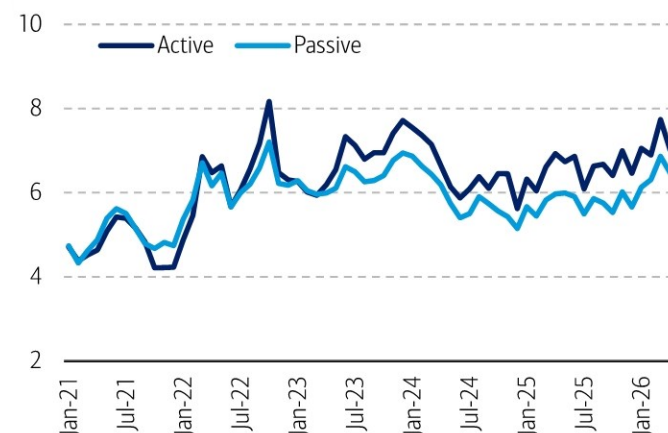


Source: EPFR

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Exhibit 11: Active funds reduce their UW positions on Brazil

Active and passive global EM funds' exposure to Brazil stocks (%)



Source: EPFR

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Capital supply: share buybacks higher; southbound flows slowing

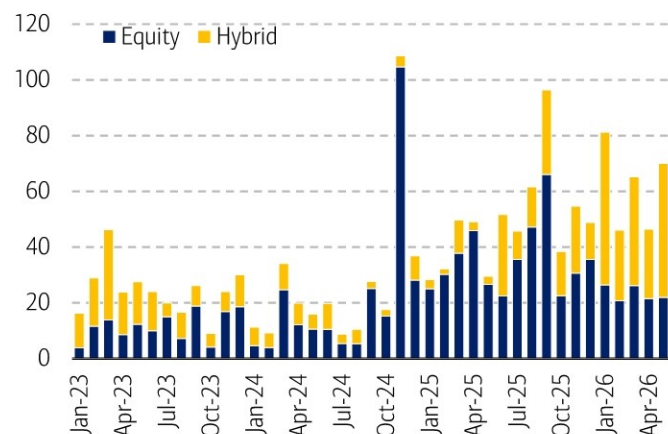
New mutual funds continue to be well received by investors in mainland China. While equity fund issuances were broadly flat MoM, hybrid fund issuances rose to a 4-month high of 48.1bn shares in May. New account openings at the SSE also rose 11% MoM. Meanwhile, listed companies continue to act as incremental liquidity providers via share buybacks, dividend payouts, and broader “market value management” initiatives. Following a brief slowdown in early 2026, share buybacks across both A-share and Hong Kong markets have picked up since March, reaching RMB17.1bn and HKD22.0bn respectively in May—marking the highest levels in 12 and 16 months.

On the Stock Connect front, northbound trading remained stable, accounting for ~6.1-6.4% of A-share daily turnover in May. However, southbound capital flows from China mainland to Hong Kong notably slowed to -HKD3.6bn over the past month, versus an inflow of HKD56.5bn in April. This is consistent with investors' accelerating exit from HK equity ETFs listed in mainland China, which saw a record level of redemptions in the week of May 29. In our view, the reallocation toward A-share AI-related opportunities amid the ChiNext rally likely contributed to this shift.



Exhibit 12: Hybrid fund issuances almost double MoM

Issuances of new mutual funds (bn shares)

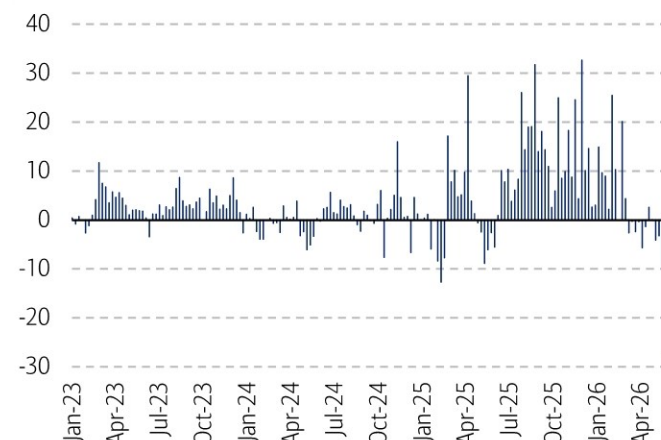


Source: WIND

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Exhibit 13: Investors exit HK ETFs at the fastest pace on record

Changes in shares of HK equity ETFs listed in China mainland (bn shares)

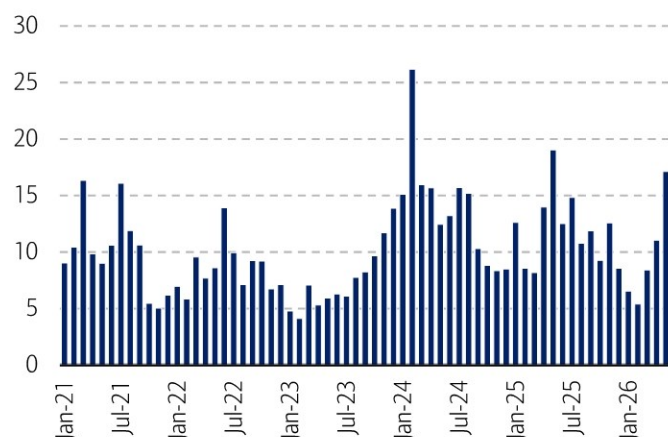


Source: WIND

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Exhibit 14: A-share buybacks hit the 12-month high

Share buybacks value in the A-share market (RMB bn)

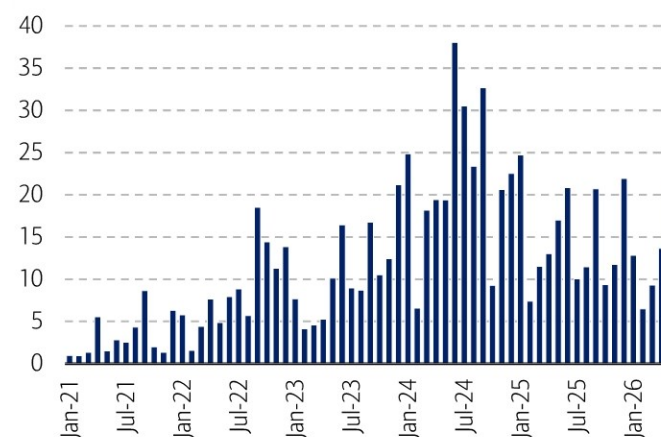


Source: WIND

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Exhibit 15: Hong Kong stock buybacks hit the 16-month high

Share buybacks in the Hong Kong market (HKD bn)



Source: WIND

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Exhibit 16: Southbound capital flows to HK notably slowed in May

Cumulative southbound capital flows to HK stocks since 2026 (HKD bn)

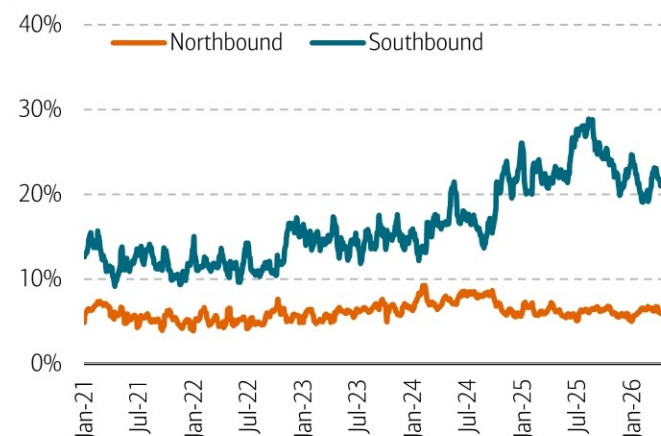


Source: WIND

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Exhibit 17: Trading contributions from the Stock Connect are stable

Northbound and southbound trading as % of total market turnover



Source: WIND

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In terms of sector preferences (measured as allocations relative to market weights), southbound investors increased their OW positions in energy and communication services, while turning more constructive on materials and real estate in May. These additions were funded by reduced exposure to health care and information technology.

Exhibit 18: Southbound investors increase their OW positions in energy and communication services

Sector OW (>1) and UW (<1) by southbound investors in the Hong Kong stock market

	Mar-25	Apr-25	May-25	Jun-25	Jul-25	Aug-25	Sep-25	Oct-25	Nov-25	Dec-25	Jan-26	Feb-26	Mar-26	Apr-26	May-26
Communication Services	1.51	1.51	1.60	1.56	1.51	1.53	1.52	1.51	1.52	1.50	1.46	1.47	1.42	1.47	1.53
Consumer Discretionary	0.83	0.85	0.89	0.94	0.93	0.95	0.98	1.01	0.99	1.02	1.03	1.06	1.06	1.04	1.04
Consumer Staples	0.74	0.74	0.76	0.64	0.65	0.65	0.66	0.67	0.70	0.73	0.74	0.63	0.63	0.64	0.64
Energy	1.09	1.10	1.15	1.13	1.08	1.08	1.14	1.12	1.13	1.12	1.14	1.17	1.25	1.18	1.22
Financials	0.74	0.74	0.77	0.79	0.80	0.79	0.78	0.80	0.81	0.82	0.82	0.84	0.83	0.86	0.87
Health Care	1.70	1.81	1.56	1.76	1.80	1.77	1.69	1.61	1.64	1.62	1.58	1.61	1.61	1.66	1.63
Industrials	0.69	0.67	0.51	0.51	0.51	0.50	0.47	0.47	0.51	0.50	0.50	0.51	0.48	0.48	0.44
Information Technology	1.59	1.52	1.54	1.47	1.44	1.42	1.43	1.48	1.44	1.43	1.44	1.44	1.48	1.40	1.37
Materials	0.95	0.96	1.00	0.98	0.99	0.95	0.86	0.87	0.88	0.87	0.90	0.82	0.81	0.83	0.85
Real Estate	0.70	0.70	0.69	0.71	0.72	0.72	0.73	0.76	0.79	0.80	0.76	0.81	0.82	0.79	0.81
Utilities	1.22	1.25	1.32	1.32	1.26	1.25	1.28	1.24	1.26	1.29	1.26	1.28	1.33	1.33	1.34

Source: WIND. Note: We define southbound investors as overweight (OW) a sector when their allocation exceeds the market weight (sector allocation / market weight > 1), and underweight (UW) when their allocation is below the market weight (sector allocation / market weight < 1).

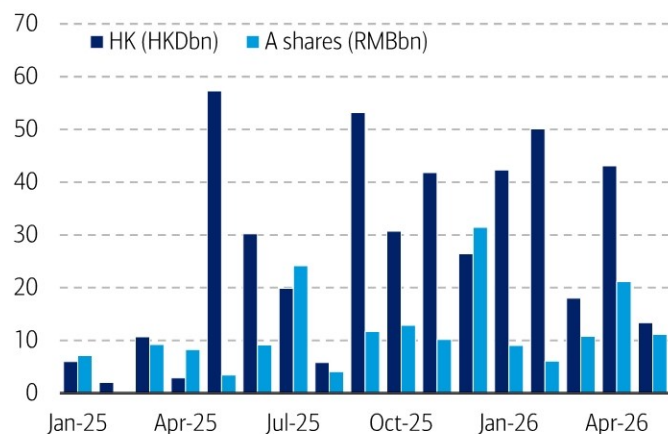
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Capital demand: short relief in May; watch IPOs and lock-up expirations in 3Q26

From a capital demand perspective, IPO financing value in both A-share and Hong Kong markets moderated notably in May. That said, we understand that HKEX maintains a solid IPO pipeline, while the upcoming mega IPO of ChangXin Memory Tech (CXMT), expected to raise ~RMB29.5bn (source: company filing), could exert pressure on A-share liquidity in the coming months once the IPO debuts, in our view. Amid the strong rally in the ChiNext Index in May, share reductions by major shareholders picked up to RMB49.3bn, although this remains below the peak of RMB60.3bn recorded in January.

Exhibit 19: IPO financing value notably eases in May

IPO financing value in HK (HKDbn) and A-share market (RMB bn)

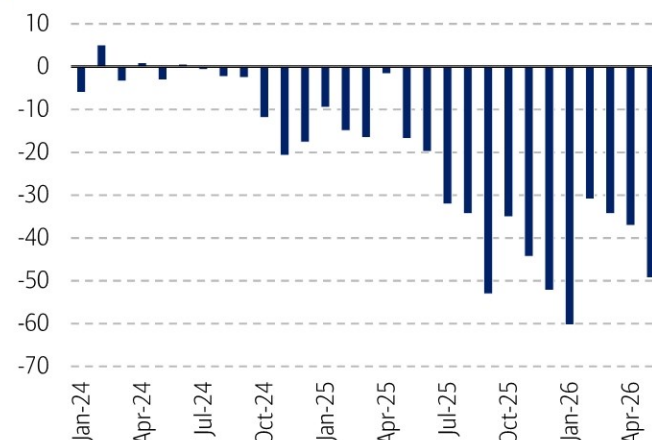


Source: WIND

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Exhibit 20: Major shareholders' stock selling continues to pick up

Share reductions by major shareholders in the A-share market (RMB bn)



Source: WIND. Note: "share reductions by major shareholders" refers to situations where large shareholders sell down their stakes in a listed company. Major shareholders include founders/controllers, senior management, strategic or financial investor, or any shareholder holding ≥5% of the company

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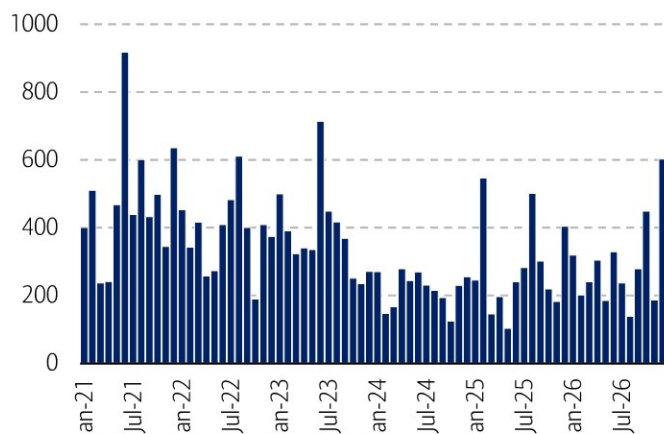
Following the increase of IPOs since mid-2025, we also highlight the risk of liquidity pressure from lock-up expirations in the Hong Kong market in 3Q26. At the time of writing, the value of restricted stock unlocks is projected to hit a multi-year high of ~HKD270bn in July before surging further to ~HKD400bn in September, based on data



compiled by WIND. While we think the impact may be contained in the A-share market, the value of restricted shares scheduled for unlocking could still reach ~RMB600bn by end-2026 – the highest level since mid-2023.

Exhibit 21: Limited pressure from A-share lock-up expirations

Monthly amount of lock-up expiration in the A-share market (RMB bn)

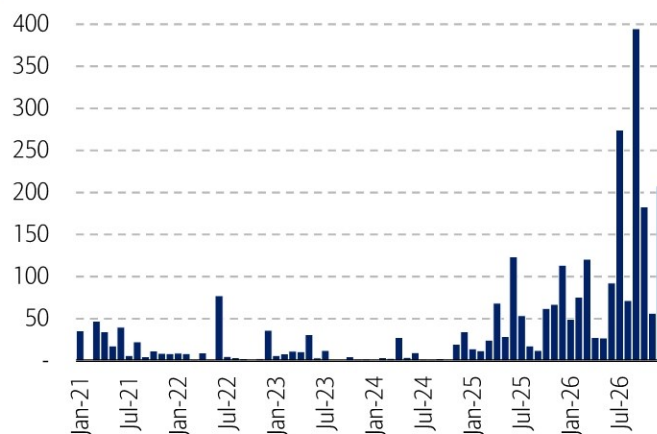


Source: WIND

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Exhibit 22: Restricted stock unlocks in HK expected to surge in 3Q26

Monthly amount of lock-up expiration in HKEX (HKD bn)



Source: WIND

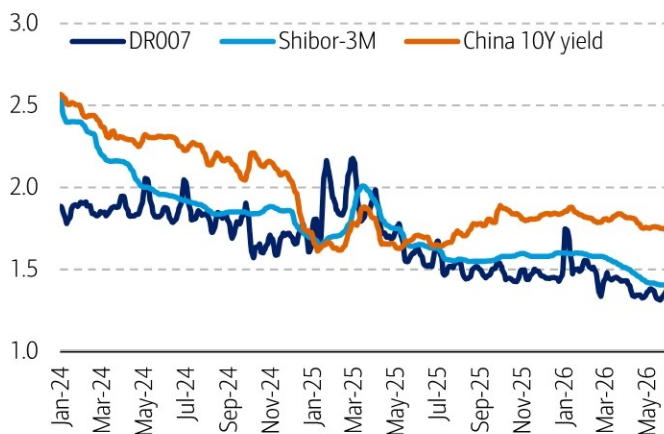
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Overview of market liquidity and sentiment

With China's economic activities losing momentum in April (see note: [April activity data, May 18](#)), the PBOC intensified liquidity injections via OMOs and MLFs in the second half of May, with interbank lending rates of DR007 and Shibor trending lower to 1.35% and 1.41% on average in the past month, vs. 1.36% and 1.47%, respectively, in April.

Exhibit 23: Interbank lending rates trend lower amid strong liquidity

DR007, Shibor – 3 month, and CGB yield (% , 5-day moving average)

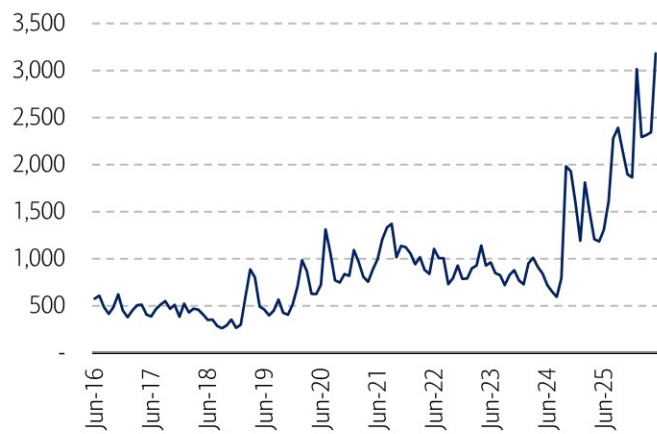


Source: Bloomberg

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Exhibit 24: Average A-share turnover surged above RMB3tn in May

Average daily trading value in the A-share market (RMB bn)



Source: WIND

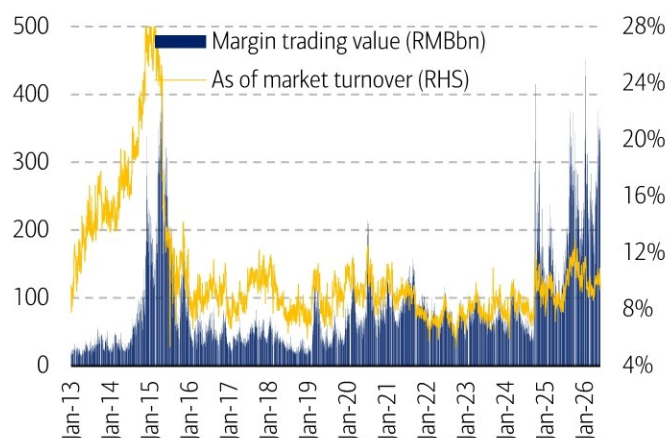
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The marginal loosening of liquidity environment bodes well for the A-share market sentiment. The average daily turnover at Shanghai and Shenzhen stock exchanges hit record highs of more than RMB3.0tn in May. Meanwhile, margin trading heats up again, with its contribution to the A-share total turnover staying elevated at the level of ~10%. On the flip side, investor sentiment in Hong Kong has been relatively tepid. The average daily turnover in the main board posted a print of HKD279.1bn in May, which is well below the peak levels of more than HKD300bn in March and in last September.



Exhibit 25: Margin trading activities heat up again in May

Margin trading as % of A-share market turnover (5-day moving average)



Source: WIND

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Exhibit 26: Hong Kong market turnover stays elevated

Average daily trading value in the Hong Kong stock market (HKD bn)



Source: WIND

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After compiling fund flow data alongside indicators from both the capital supply and demand sides, we present our liquidity dashboard below, with green/amber/red arrow denoting movements that are supportive/neutral/adverse to secondary market liquidity. Overall, divergent domestic capital supply dynamics continue to favor A-shares over Hong Kong stocks (see note [China conference feedback, May 15](#)). Apart from slowing southbound capital inflows, recent tightening on cross-border capital flows and the upcoming wave of lock-up expirations represent key liquidity risks for the Hong Kong market in the short term.

Exhibit 27: Divergent capital supply dynamics still favor A shares vs. Hong Kong stocks

A-share and Hong Kong market liquidity dashboard

		May-26	Apr-26	Impact			May-26	Apr-26	Impact
A-share market					Hong Kong				
Overall	Average daily trading value (RMB bn)	3,182.50	2,343.8	▲	Average daily trading value (HKD bn)		292.8	253.4	▲
	Margin trading as % of market turnover	10.10%	9.80%	▶					
	New mutual fund issuances (bn)	70.1	46.4	▲	Shares buyback (HKD bn)		22	13.6	▲
Capital Supply	Shares buyback (RMB bn)	17.1	11	▲	Southbound capital flows (HKD bn)		-3.6	56.5	▼
	Northbound trading as % of turnover	6.20%	6.10%	▶					
	4-week China equity fund flows (USD mn)	347.4	51.6	▲	4-week China equity fund flows (USD mn)		587.5	824.6	▼
Capital Demand	IPO financing (RMB bn)	11.1	21.2	▲	IPO financing (HKD bn)		13.4	43.1	▲
	Lock-up expirations (RMB bn)	184.9	303.8	▲	Lock-up expirations (HKD bn)		26.9	27.8	▶
	Share reductions by major shareholders (RMB bn)	49.3	37.1	▼					

Source: WIND, EPFR.

Note: ▲/▶/▼ denote whether an indicator's movement is supportive, neutral, adverse to market liquidity relative to the previous month. A ▲ is assigned when the MoM change is supportive to liquidity—specifically, a >5% increase in overall/capital supply indicator or a >5% decline in capital demand indicator. A ▼ is assigned when the MoM change is adverse to liquidity—a >5% decline in overall/capital supply indicator or a >5% increase in capital demand indicator. A ▶ is assigned when the MoM change falls within -5%.

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